

Monthly Trustee Report

Palisades CLO 2023-2 | Report date 30 November 2023 | Determination 15 November 2023

1. Report identification

Harbor Trust Company, N.A., as Trustee and collateral administrator for Palisades CLO 2023-2, Ltd. and Palisades CLO 2023-2, LLC, delivers this monthly report to noteholders. Collateral Manager: Dunhill Credit Partners LP. Portfolio manager: Sofia Almeida. Payment date: 20 December 2023. This report is a fictional sample for software testing and does not describe a live securitization.

2. Capital structure outstanding

Outstanding note balances as of the determination date are unchanged from closing except for a modest unscheduled paydown on the Class A Senior Secured Floating Rate Notes. Subordinated Notes remain \$25,542,000. The Trustee confirms the interest waterfalls described below.

3. Coverage test results

All coverage tests passed on the determination date. Harbor Trust Company, N.A. calculated the ratios below using the indenture definitions. No redirection of interest proceeds is required this period.

- Class A/B Overcollateralization Test: 123.1% vs 121.8% trigger. Pass.
- Class A/B Interest Coverage Test: 131.6% vs 120.0% trigger. Pass.
- Class C Overcollateralization Test: 116.2% vs 114.0% trigger. Pass.
- Class D Overcollateralization Test: 110.0% vs 108.5% trigger. Pass.
- Interest Diversion Test (Class E par coverage): 105.8% vs 104.5%. Pass.

4. Largest obligors

The five largest obligors as a percentage of collateral principal amount are listed below. The largest-obligor concentration limit remains 2.0%.

- Summit Logistics Corp.: 1.74%. First-lien term loan. Sponsor: Trailhead Equity. Rating B1/B+. Atlanta. No watch.
- Cinder Hotel Group: 1.49%. First-lien term loan. Sponsor: Lantern Hospitality. Rating B2/B. Orlando. No watch.
- Arcadia Labs, Inc.: 1.26%. First-lien term loan. Sponsor: Helix Venture Partners. Rating B3/B-. Cambridge. On watch.
- Foothill Utilities LLC: 1.11%. First-lien term loan. Sponsor: Prairie Infrastructure. Rating Ba3/BB-. Des Moines. No watch.
- Redwood Packaging LLC: 1.00%. First-lien term loan. Sponsor: Pioneer Packaging Partners. Rating B1/B+. Portland. No watch.

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5. Watchlist and trading

Sofia Almeida of Dunhill Credit Partners LP advised the Trustee that Arcadia Labs, Inc. is on the official watchlist. Peter Groves, chief credit officer, authorized a sale during the reinvestment period if bids are at or above 97.00. No sale settled in this period.

Reinvestment: Dunhill Credit Partners LP purchased additional par of Redwood Packaging LLC first-lien term loan during the period. The loan is eligible collateral and US dollar denominated. The trade complies with the Class A/B Overcollateralization Test and the 2.0% obligor limit. Harbor Trust Company, N.A. settled the purchase into the custodial account.

6. Concentration and Caa bucket

Caa bucket (Moody's Caa1 or below): 3.2% versus a 7.5% limit. Largest Moody's industry includes Transportation exposure from Summit Logistics Corp. and is below the 12.0% industry limit.

7. Notices

Noteholders with questions should contact Harbor Trust Company, N.A. in Wilmington, or the Collateral Manager, Dunhill Credit Partners LP, in Dallas. Palisades CLO 2023-2 remains in its reinvestment period until 16 November 2028. This report should be read with the 2 November 2023 term sheet and the Summit Logistics Corp. credit memorandum dated 20 October 2023.